Labour Variances

Rate, Time, Cost

who paid more, who took longer?

Management Accounting

In simple words *Labour variance compares what labour should have cost with what it actually cost, and finds if rate or hours caused the gap.*

1 Labour Cost Variance

Standard labour cost for actual output minus actual labour cost. It is the total of rate and efficiency effects (including idle time).

Total gap = all sub-variances added

2 Idle Time Variance

Standard rate multiplied by idle hours paid but not worked. It is always adverse.

Always Adverse!

1. Labour Rate Variance arises from paying a different rate per hour than standard.
2. Labour Efficiency Variance arises from actual hours worked differing from standard hours for actual output.
3. Efficiency uses hours WORKED (excluding idle time), while rate uses hours PAID.
4. Cost variance = Rate + Efficiency + Idle time (when idle time exists).



Swipe for the formula →

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THE LABOUR FORMULAS

Labour Variances (Standard Costing)

SR, AR, SH, AH - four letters!

Labour Cost Variance

$$\text{LCV} = (\text{SH} \times \text{SR}) - (\text{AH paid} \times \text{AR})$$

SH = standard hours for actual output; SR = standard rate/hr; AH paid = actual hours paid; AR = actual rate/hr. Positive = Favourable.

Labour Rate Variance

$$\text{LRV} = (\text{SR} - \text{AR}) \times \text{AH paid}$$

Positive = Favourable, negative = Adverse. Uses hours paid.

Labour Efficiency Variance

$$\text{LEV} = (\text{SH} - \text{AH worked}) \times \text{SR}$$

AH worked = AH paid – idle hours. Idle Time Variance = idle hours × SR (Adverse).

RATE = PRICE, EFFICIENCY = HOURS! LCV = LRV + LEV + Idle Time Variance, so check your answer by adding the parts.

Swipe for a memory trick ⟶

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STUDY TRICK

Labour Variances (Standard Costing)

Standard minus Actual, always

STANDARD MINUS ACTUAL = +F

Always write Standard first, Actual second. A positive answer is Favourable, a negative answer is Adverse. Do this for rate, efficiency and cost.

HOW TO ATTEMPT IT

1 Find SH for actual output → 2 Note AH paid, idle hours, AH worked →

3 Rate: (SR – AR) × AH paid → 4 Efficiency: (SH – AH worked) × SR →

5 Idle time = idle hrs × SR; add to check

EXAM TIP

If idle time is given, use hours worked in efficiency and hours paid in rate. Check that LCV equals the sum of parts.

DOUBT BUSTER

Why is idle time variance always adverse? Idle hours are paid but produce nothing, so cost is incurred with no output. It is shown as a loss, never as a gain.

Swipe for common mistakes →

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COMMON MISTAKES

Labour Variances (Standard Costing)

Hours paid vs hours worked

✗ Using hours worked in the rate variance when idle time exists

✓ Rate variance uses actual hours paid: (SR – AR) × AH paid.

✗ Using budgeted output to find standard hours

✓ Standard hours are for actual output produced.

✗ Showing idle time variance as favourable

✓ Idle time variance is always adverse.

TOMORROW'S CMA INTER MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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